

FEDERAL MARITIME COMMISSION

DOCKET NO. 16-15

**WORLD IMPORTS, LTD., WORLD IMPORTS CHICAGO, LLC, and
WORLD IMPORTS SOUTH, LLC**

v.

OEC GROUP NEW YORK

**INITIAL DECISION APPROVING SETTLEMENT AGREEMENT and
DISMISSING PROCEEDING WITH PREJUDICE¹**

On January 25, 2017, complainants World Imports, Ltd., World Imports Chicago, LLC, and World Imports South, LLC (collectively World Imports)² and respondent OEC Group New York (OEC) filed a Joint Motion for Approval of Settlement and Voluntary Dismissal of Complaint seeking approval of the Settlement Agreement that the parties previously filed with the Commission on January 6, 2017. The Agreement is approved.

BACKGROUND

On July 8, 2016, World Imports commenced this proceeding by filing with the Secretary a Complaint alleging that OEC violated the Shipping Act of 1984. World Imports states that the World Imports companies are corporations “formerly engaged in the business of buying furniture wholesale and selling it to retail distributors.” (Complaint ¶ 1.) World Imports alleges that OEC is a New York corporation and a “freight forwarder/logistics provider” providing non-vessel-operating common carrier services. (*Id.* ¶ 2.)

¹ This Initial Decision will become the decision of the Commission in the absence of review by the Commission. 46 C.F.R. § 502.227.

² For convenience I refer to the World Imports entities together in the singular.

World Imports alleges that OEC “was in possession of multiple landed shipments of merchandise for delivery” (Complaint ¶ 5.B) to World Imports but failed to release those goods on the basis of freight charges owed to OEC for goods OEC had “previously delivered and unconditionally released.” (Complaint ¶ 5.C.) World Imports alleges that OEC has “transmogrified what would have been an unsecured claim in World Imports’ bankruptcy proceedings into a secured maritime lien.” (Complaint ¶ 6.) World Imports alleges that OEC has violated Section 10(d)(1) of the Shipping Act, which provides that a common carrier “may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). World Imports requests a cease and desist order, an order that OEC establish lawful and reasonable regulations, and an award “by way of reparations for the unlawful conduct herein described the sum of \$172,075.50, with interest and attorney’s fees or such other sum as the Commission may determine to be proper.” (Complaint ¶ 8.)

As indicated by the reference to World Imports’ bankruptcy proceedings, this proceeding is not the only litigation between the parties. On July 3, 2013, World Imports filed voluntary petitions for relief in the Bankruptcy Court. OEC filed a motion for relief from the automatic stay imposed by Bankruptcy Code § 362(a). OEC argued that it was a secured creditor with a possessory maritime lien on World Imports’ goods in its possession and was entitled to refuse to release the goods unless and until certain prepetition claims were satisfied. The Third Circuit held that OEC has a possessory lien in the goods and the Supreme Court denied World Imports’s petition for writ of certiorari. *In re World Imports, Ltd. v. OEC Group New York*, 820 F.3d 576, 580-581 (3d Cir.), *cert denied*, 2016 U.S. LEXIS 6391 (Oct. 17, 2016).

On August 4, 2016, the parties filed a Joint Motion to Hold Case in Abeyance pending approval of a Settlement Agreement to be reflected in a Plan of Reorganization submitted by World Imports in its bankruptcy action before the Bankruptcy Court for the Eastern District of Pennsylvania. The Joint Motion was granted and this proceeding was stayed. *World Imports, Ltd., World Imports Chicago, LLC, and World Imports South, LLC v. OEC Group New York, FMC* No. 16-15 (ALJ Aug. 16, 2016) (Order Holding Case in Abeyance). The stay was extended in November. *World Imports, Ltd., World Imports Chicago, LLC, and World Imports South, LLC v. OEC Group New York, FMC* No. 16-15 (ALJ Nov. 15, 2016) (Second Order Holding Case in Abeyance).

The Bankruptcy Court approved the settlement on December 21, 2016. On January 6, 2017, the parties filed a Notice of Bankruptcy Court Order Approving Settlement Agreement and a request to dismiss this proceeding pursuant to Commission Rule 72(a)(2). The parties were directed to file a motion for approval of the Settlement Agreement pursuant to Rule 72(a)(3). 46 C.F.R. § 502.72(a). *World Imports, Ltd., World Imports Chicago, LLC, and World Imports South, LLC v. OEC Group New York, FMC* No. 16-15 (ALJ Jan. 13, 2017) (Order Denying Without Prejudice Request to Dismiss Proceeding).

On January 25, 2017, the parties filed their Joint Motion for Approval of Settlement and Voluntary Dismissal. The parties contend:

[T]he Complaint at issue asserted that the Respondent's exercise of lien rights constituted a Shipping Act violation. The Respondent disputes those claims. The settlement at issue, which resolves not only the Complaint before the Commission but also the ongoing litigation in the federal courts – which litigation has continued for more than two and one half years – benefits both parties by permitting an immediate distribution of funds to OEC while freeing up half of the remaining assets of the Debtors from the Respondents' lien claims.

The Parties' settlement reflects a fair and considered judgment of the merits of their respective positions, the desire to avoid unnecessary litigation costs and expense, and the desire to avoid the risks inherent in litigation. The settlement is the product of arms-length negotiations, in which counsel for both parties participated, and is free of fraud, duress, or undue influence. The Parties also submit that the settlement is free of mistake or other defects which might make it unapprovable.

Further, the settlement does not contravene law or public policy. It is not an unjust or discriminatory device, has no adverse effect on any third parties or the market for transportation services, and does not run afoul of the Shipping Act. Instead, it constitutes a prudent decision to settle longstanding and costly litigation. In sum, because the settlement is fair, reasonable and adequate, and is the product of prudent and considered judgment on the part of the Parties, it should be approved.

(Joint Motion for Approval of Settlement and Voluntary Dismissal at 2-3.) In response to an inquiry from the undersigned, the parties state that they seek dismissal with prejudice. (Email dated January 26, 2017, 11:55 AM from counsel for OEC to judges@fmc.gov; email dated January 26, 2017, 2:00 PM from counsel for World Imports to judges@fmc.gov.)

DISCUSSION

Using language borrowed in part from the Administrative Procedure Act,³ Rule 91 of the Commission's Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement "where time, the nature of the proceeding, and the public interest permit." 46 C.F.R. § 502.91(b). The Commission has consistently adhered to a policy of "encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid." *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002), *quoting Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978)

³ "The agency shall give all interested parties opportunity for – (1) the submission and consideration of facts, arguments, offers of settlement, or proposals of adjustment when time, the nature of the proceeding, and the public interest permit." 5 U.S.C. § 554(c).

(*Old Ben Coal*). See also *Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy. . . . The courts have considered it their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Old Ben Coal, 18 S.R.R. at 1092 (quoting 15A American Jurisprudence, 2d Edition, pp. 777-778 (1976)).

“While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.” *Id.* However, if “a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” *Old Ben Coal*, 18 S.R.R. at 1093. “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (citations omitted).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004)).

Based on my review of the Agreement, which was signed by the parties after arms-length negotiations and has been approved by the Bankruptcy Court, the verified Complaint, and the record in this proceeding, and engaging in every presumption which favors a finding that the Agreement is fair, correct, and valid, I find that the Agreement does not appear to violate any law or policy and

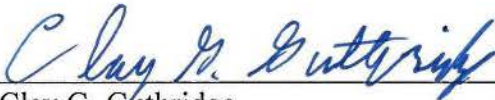
is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Therefore, the Agreement is approved.

ORDER

In consideration of the foregoing, it is hereby

ORDERED that the Joint Motion for Approval of Settlement be **GRANTED**. The Settlement Agreement between complainant World Imports, Ltd., World Imports Chicago, LLC, and World Imports South, LLC and respondent OEC Group New York is **APPROVED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.



Clay G. Guthridge
Administrative Law Judge